CHAPTER 4.

An Act to amend the Trustee Savings Banks Acts, 1863 to 1904, with respect to Special Investments and the Separate Surplus Fund. [18th April 1918.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:

Control of National Debt Commissioners over special investments business.

1.—(1) Every trustee savings bank which carries on the business of making special investments shall so far as respects that business be subject to the control of the National Debt Commissioners and shall comply with any directions which may from time to time be given by the Commissioners with respect to that business.

If a bank to which any such directions are given neglects or refuses to comply therewith, the Commissioners may themselves take the necessary steps for giving effect thereto, and for that purpose may do all such things and exercise all such powers as may be done and exercised by the trustees, managers, and other officers of the bank.

(2) Without prejudice to the general power of control hereinbefore given to the Commissioners, the following provisions shall have effect with respect to the special investments business of a trustee savings bank:—

(*a*) No money received for investment shall be invested, and no securities held on account of special investments shall be sold, except with the approval of the Commissioners:

(*b*) No change shall be made in the rate of interest allowed to depositors in respect of special investments except with the approval of the Commissioners:

(*c*) The amount to be expended by the bank for expenses of management on account of the special investments business shall not exceed such an amount as may be allowed by the Commissioners:

(*d*) No money received for investment shall be invested except so as to become repayable not later than the expiration of one year, or, if the money is invested in Government securities, three years, from the date of the investment, or so as to be repayable on six months' or some shorter notice:

26 & 27 Vict. c. 87.

(*e*) There shall be transmitted to the Commissioners, together with the statement required to be transmitted to them under section fifty-five of the Trustee Savings Banks Act, 1863, a valuation of the securities held by the bank on account of special investments, and for the purpose of the valuation the value of those securities shall be calculated according to the current market price at the date of the valuation, or, in the case of securities for which there is at that date no current market price, shall be taken to be such an amount as the Commissioners shall fix, having regard to the date of repayment of, and to the rate of interest payable in respect of, the securities.

2.—(1) For the purpose of providing for any deficiency which may arise in respect of special investments made by trustee savings banks, there shall be established a guarantee fund under the control of the Commissioners. Establishment of guarantee fund to meet deficiencies on special investments accounts.

(2) The guarantee fund shall consist of—

(*a*) The reserves both in respect of general business and of special investments of all trustee savings banks which make special investments; and

(*b*) Such part of the separate surplus fund as stands to the credit of closed trustee savings banks;

and for the purpose aforesaid the reserves of every such trustee savings bank shall be at the disposal of the Commissioners, and the bank shall comply with any directions given by the Commissioners with respect to those reserves for the purpose of giving effect to the provisions of this section.

(3) If on any valuation of the assets belonging to any bank on account of special investments it appears that there is a deficiency, that deficiency shall, in the event of the bank being closed or wound up, or discontinuing, with the consent of the Commissioners, the business of making special investments, be a charge on and be made good out of the guarantee fund, as follows:—

(*a*) Recourse shall be had in the first instance to the amount standing to the credit of the guarantee fund in respect of the reserves of the bank in question and, so far as that amount is insufficient for the purpose, to the amount standing to the credit of the guarantee fund in respect of the reserves of other banks and to the part of the separate surplus fund standing to the credit of the guarantee fund pari passu; and

(*b*) As between the reserves of a bank in connection with special investments and the reserves of a bank in connection with its general business, recourse shall be had in the first instance to the reserves in connection with special investments, and as between the banks other than the bank in connection with whose account the deficiency has arisen the amount falling to be charged on the reserves of those banks shall be allocated pro ratâ to those reserves according to their several amounts.

(4) So much of paragraph (*e*) of section ten of the Savings Banks Act, 1891, as enacts that the assets of a bank in respect of ordinary deposits are not to be liable for any loss or deficiency 54 & 55 Vict. c. 21.

in respect of special investments shall cease to have effect so far as relates to such assets of the bank as are reserves within the meaning of this Act.

Interest on separate surplus fund. 43 & 44 Vict. c. 36.

3.—(1) The amount standing to the credit of a trustee savings bank in the separate surplus fund which accrued before the commencement of the Savings Banks Act, 1880, shall, as from the twentieth day of November, nineteen hundred and seventeen, carry interest at the same rate and in the same manner as any other sums standing to the credit of the bank.

(2) Section four of the Savings Banks Act, 1891 (which provides for the expenses of the Inspection Committee), shall have effect as if the words "so much of the separate surplus fund "which has accrued under section twenty-nine of the Savings "Banks Act, 1863, as stands to the credit of closed trustee "savings banks" were substituted for the words "the separate "surplus fund which has accrued under section twenty-nine of "the Savings Banks Act, 1863, and which does not carry interest "to the trustees of savings banks."

Interpretation.

4. In this Act—

The expression "trustee savings bank" means a bank certified under the Trustee Savings Banks Act, 1863:

The expression "special investments" means any investments made in pursuance of section sixteen of the Trustee Savings Banks Act, 1863, but does not include any investment so made if the bank is not to be liable to repay to the depositor in cash the money received from him and applied in making the investment:

The expression "separate surplus fund" means the fund created pursuant to section twenty-nine of the Trustee Savings Banks Act, 1863:

The expression "Commissioners" means the National Debt Commissioners:

The expression "reserves" means as respects any bank the whole of the assets of the bank, less the amount necessary to discharge in full all liabilities to depositors in the bank and outstanding management expenses.

Extension to Channel Islands and the Isle of Man.

5. This Act shall extend to the Channel Islands and the Isle of Man, and the Royal Courts of the Channel Islands shall register the same.

Short title and citation.

6. This Act may be cited as the Trustee Savings Banks Act, 1918, and may be cited with the Trustee Savings Banks Acts, 1863 to 1904.